Zhongji InnoLight 300308.SZ 300308 CH

EQUITY: TECHNOLOGY

Industry upcycle remains intact despite market turmoil

High-end customized product to drive innovation cycle

Action: Maintain Buy; TP cut to CNY1196, implying 88% upside

On Oct 29 Zhongji InnoLight reported 3Q26 results after the market close. Revenue/ earnings rose 171.8%/173.7% y-y (+24.6% / 8.5% q-q) with growth to CNY27.8bn/8.6bn, while recurring earnings was +190% y-y (+22.3% q-q) to CNY9bn. We view this as a solid print among the component shortages, and expect the company to benefit from the tech innovation cycle ahead. We lift FY26-28F revenue/earnings by 7-11%/0-8% to reflect stronger contributions from high-end products (i.e., 2.4T+ transceiver, NPO), but cut TP to CNY1,196, based on 18x (previously 21x) FY27F EPS of CNY66.45, which is in line with the median P/E range of WIND's China Optical communication sector. The stock currently trades at 9.6x FY27F EPS.

Multiple growth drivers ahead: revising 800G / 1.6T transceiver mix; we expect 2.4T / 3.2T / NPO / CPO to drive new upgrade cycle

Despite recent market concerns around potential regulatory risk, we think InnoLight's leading position in global optical transceiver market remains intact, and it appears well positioned to benefit from the NPO / CPO upgrade cycle. Owing to the persistent component shortages (i.e., optical chips, DSP, mSAP PCB, etc), we revise our global optical transceiver shipment mix, with 800G transceiver volume up to 91mn/112mn in FY27-28F, while 1.6T transceiver volume is now down to 60.5mn/104.5mn. Meanwhile, we estimate 2.4T transceiver (3mn / 8mn in FY27-28F), 3.2T transceiver (2mn in FY28F), NPO optical engines (5mn / 20mn in FY27-28F), and CPO optical engines (2.2mn / 20.2mn) to continue to drive sustainable growth in the next 3-5 years. Based on our assumptions, we think the company should be able to maintain a stable ~30% global market share for 100G+ transceiver segment.

Better product mix is the key to support profitability, but investors should be mindful of rising costs due to potential supply chain disruptions

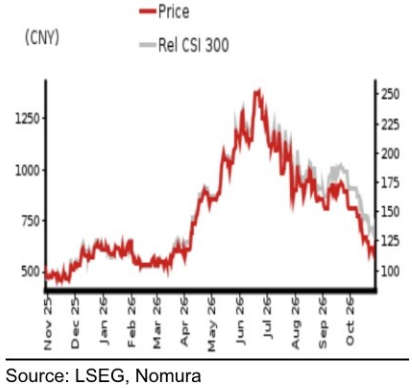
We estimate the high-end products, including 2.4T / 3.2T transceivers, NPO and CPO to contribute 21%/42% revenue in FY27/28F. As the high-end products may have more customized design, InnoLight may enjoy higher value as a turnkey solution provider, which could support its profitability. Meanwhile, we caution that potential supply chain disruptions owing to geopolitical risks could lead to higher costs in the supply chain. The BBG report of potential Marvell's (VRVL US, Not rated) acquisition of Lumentum (LITE US, Not rated) may also add further uncertainty to competition dynamics.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	38,240	124,240	133,245	266,386	276,779	388,945	429,817
Reported net profit (mn)	10,797	35,844	35,980	76,341	77,484	114,172	123,334
Normalised net profit (mn)	10,797	35,844	35,980	76,341	77,484	114,172	123,334
FD normalised EPS	9.72	30.74	30.85	65.47	66.45	97.91	105.76
FD norm. EPS growth (%)	110.7	216.3	217.5	113.0	115.4	49.6	59.2
FD normalised P/E (x)	65.5	–	20.6	–	9.6	–	6.0
EV/EBITDA (x)	50.1	–	14.2	–	6.1	–	3.2
Price/book (x)	23.8	–	7.0	–	4.4	–	2.7
Dividend yield (%)	0.2	–	0.8	–	1.7	–	2.7
ROE (%)	44.2	53.0	53.2	55.6	56.2	52.6	55.6
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	**Buy**
Target price Reduced from CNY 1,375.00	**CNY 1,196.00**
Closing price 28 October 2026	**CNY 636.30**
Implied upside	**+88.0%**
Market Cap (USD mn)	111,288.3
ADT (USD mn)	3,930.9

Relative performance chart



Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Zhongji InnoLight

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-21.9	-29.9	24.0	M cap (USDmn)	111,288.3
Absolute (USD)	-21.4	-28.9	32.1	Free float (%)	68.1
Rel to CSI 300	-16.0	-19.3	37.0	3-mth ADT (USDmn)	3,930.9

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	23,862	38,240	133,245	276,779	429,817
Cost of goods sold	-15,796	-22,166	-71,613	-145,184	-220,947
Gross profit	8,067	16,074	61,631	131,594	208,870
SG&A	-2,170	-2,170	-15,555	-35,079	-56,624
Employee share expense					
Operating profit	5,897	13,905	46,076	96,515	152,246
EBITDA	6,442	14,644	46,584	97,111	152,908
Depreciation	-545	-740	-508	-595	-663
Amortisation					
EBIT	5,897	13,905	46,076	96,515	152,246
Net interest expense	144	-183	-637	-1,323	-2,055
Associates & JCEs					
Other income	11	-122	-426	-885	-1,374
Earnings before tax	6,052	13,600	45,013	94,308	148,817
Income tax	-681	-2,020	-6,686	-14,007	-22,103
Net profit after tax	5,372	11,580	38,328	80,301	126,714
Minority interests	-200	-782	-2,347	-2,817	-3,380
Other items					
Preferred dividends					
Normalised NPAT	5,171	10,797	35,980	77,484	123,334
Extraordinary items					
Reported NPAT	5,171	10,797	35,980	77,484	123,334
Dividends	-845	-1,764	-5,878	-12,658	-20,149
Transfer to reserves	4,327	9,033	30,102	64,825	103,185
Valuations and ratios					
Reported P/E (x)	137.9	65.5	20.6	9.6	6.0
Normalised P/E (x)	137.9	65.5	20.6	9.6	6.0
FD normalised P/E (x)	137.9	65.5	20.6	9.6	6.0
Dividend yield (%)	0.1	0.2	0.8	1.7	2.7
Price/cashflow (x)	225.4	64.9	20.1	9.3	6.1
Price/book (x)	37.3	23.8	7.0	4.4	2.7
EV/EBITDA (x)	115.0	50.1	14.2	6.1	3.2
EV/EBIT (x)	125.6	52.8	14.3	6.2	3.3
Gross margin (%)	33.8	42.0	46.3	47.5	48.6
EBITDA margin (%)	27.0	38.3	35.0	35.1	35.6
EBIT margin (%)	24.7	36.4	34.6	34.9	35.4
Net margin (%)	21.7	28.2	27.0	28.0	28.7
Effective tax rate (%)	11.2	14.9	14.9	14.9	14.9
Dividend payout (%)	16.3	16.3	16.3	16.3	16.3
ROE (%)	31.0	44.2	53.2	56.2	55.6
ROA (pretax %)	29.1	47.9	113.5	175.0	206.3
Growth (%)					
Revenue	122.6	60.3	248.4	107.7	55.3
EBITDA	150.4	127.3	218.1	108.5	57.5
Normalised EPS	70.4	110.7	217.5	115.4	59.2
Normalised FDEPS	70.4	110.7	217.5	115.4	59.2

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	6,442	14,644	46,584	97,111	152,908
Change in working capital	-4,452	-910	275	1,279	-2,093
Other operating cashflow	1,174	-2,839	-9,868	-18,804	-28,684
Cashflow from operations	3,165	10,896	36,991	79,586	122,132
Capital expenditure	-2,866	-2,760	-2,460	-2,160	-1,860
Free cashflow	298	8,136	34,531	77,426	120,272
Reduction in investments	0	0	0		
Net acquisitions					
Dec in other LT assets	0	0	0		
Inc in other LT liabilities	917	130	0	0	0
Adjustments	-993	12	0		
CF after investing acts	223	8,278	34,531	77,426	120,272
Cash dividends	-845	-1,764	-5,878	-12,658	-20,149
Equity issue	246	205	45,690	0	0
Debt issue	1,685	-1,114	500	500	500
Convertible debt issue					
Others	428	328	0	0	0
CF from financial acts	1,514	-2,344	40,312	-12,158	-19,649
Net cashflow	1,737	5,933	74,842	65,268	100,623
Beginning cash	3,317	5,054	10,987	85,829	151,097
Ending cash	5,054	10,987	85,829	151,097	251,720
Ending net debt	-2,377	-9,391	-83,734	-148,501	-248,624

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	5,054	10,987	85,829	151,097	251,720
Marketable securities					
Accounts receivable	4,988	6,635	8,629	10,962	13,597
Inventories	7,051	12,681	21,536	34,422	51,577
Other current assets	1,103	781	781	781	781
Total current assets	18,196	31,084	116,775	197,262	317,674
LT investments					
Fixed assets	5,872	8,503	10,455	12,020	13,217
Goodwill	378	378	291	205	118
Other intangible assets	4,420	5,325	5,184	5,042	4,901
Other LT assets					
Total assets	28,866	45,289	132,705	214,528	335,910
Short-term debt	2,070	1,086	1,586	2,086	2,586
Accounts payable	4,417	10,446	21,570	38,068	55,765
Other current liabilities	10	27	27	27	27
Total current liabilities	6,497	11,558	23,182	40,180	58,377
Long-term debt	606	510	510	510	510
Convertible debt					
Other LT liabilities	1,470	1,599	1,599	1,599	1,599
Total liabilities	8,573	13,668	25,292	42,290	60,486
Minority interest	1,159	1,856	1,856	1,856	1,856
Preferred stock					
Common stock	19,134	29,765	105,557	170,382	273,567
Retained earnings					
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	19,134	29,765	105,557	170,382	273,567
Total equity & liabilities	28,866	45,289	132,705	214,528	335,910
Liquidity (x)					
Current ratio	2.80	2.69	5.04	4.91	5.44
Interest cover	–	76.1	72.3	72.9	74.1
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	4.61	9.72	30.85	66.45	105.76
Norm EPS (CNY)	4.61	9.72	30.85	66.45	105.76
FD norm EPS (CNY)	4.61	9.72	30.85	66.45	105.76
BVPS (CNY)	17.07	26.79	90.52	146.11	234.60
DPS (CNY)	0.75	1.59	5.04	10.86	17.28
Activity (days)					
Days receivable	61.0	55.5	20.9	12.9	10.5
Days inventory	131.1	162.5	87.2	70.3	71.2
Days payable	94.1	122.4	81.6	75.0	77.7
Cash cycle	98.0	95.6	26.5	8.3	4.0

Source: Company data, Nomura estimates

Company profile

Zhongji InnoLight is a China-based company mainly engaged in high-end optical communication transceiver module business and intelligent equipment manufacturing business. The company supplies optical transceiver modules to cloud computing data centers, data communications, 5G wireless networks and telecommunications transmission networks.

Valuation Methodology

Our TP of CNY1,196.00 is based on 18x 2027F EPS of CNY66.45, in line with China's optical communication sector median P/E. The benchmark index is CSI300 Index.

Risks that may impede the achievement of the target price

Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

ESG

Zhongji InnoLight, as a social responsibility, offers infrastructure products to telecom network and data centers. The manufacturing of optical modules requires land, equipment and other materials, which may impact the environment, while factory automation may help to improve its environmental friendliness.

3Q26 earnings summary

In 3Q26, the company's revenue/earning were up 171.8% / 173.7% y-y (+24.6% / 8.5% q-q) with growth to CNY27.8bn/8.6bn, while recurring earnings recorded growth of 190% y-y (+22.3% q-q) to CNY9bn. GPM increased 3.8pp y-y, a slightly sequential improvement (+0.2pp q-q).

Fig. 1: InnoLight - 3Q26 earnings summary

(CNY mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	y-y	q-q
	A	A	A	A	A	A	A	A	A	A	A		
Revenue	2,167	3,026	3,688	6,550	6,674	8,115	10,216	13,235	19,496	22,281	27,769	171.8%	24.6%
% chg yoy	17.9%	39.7%	21.9%	256.5%	208.0%	168.1%	177.0%	102.1%	192.1%	174.6%	171.8%		
COGS	(1,493)	(2,011)	(2,383)	(4,252)	(4,225)	(4,748)	(5,845)	(7,348)	(10,517)	(11,938)	(14,826)		
Gross Profit	674	1,015	1,304	2,298	2,449	3,367	4,371	5,887	8,980	10,343	12,943		
OPEX	(289)	(295)	(491)	(788)	(499)	(523)	(652)	(1,006)	(1,227)	(1,022)	(1,210)		
Operating Income	385	720	813	1,510	1,950	2,844	3,719	4,882	7,753	9,321	11,733	215.5%	25.9%
% chg yoy	-46.5%	21.8%	202.3%	85.7%	406.1%	294.9%	357.3%	223.3%	297.6%	227.8%	215.5%		
Finance Expense	73	5	22	152	17	22	(83)	(139)	(251)	(311)	(574)		
Other gains/expense	(14)	29	189	(22)	22	26	323	17	34	685	(551)		
Pretax income	444	755	1,023	1,640	1,990	2,891	3,959	4,759	7,536	9,695	10,607	167.9%	9.4%
% chg yoy	-41.1%	12.0%	278.9%	60.2%	347.9%	283.1%	286.9%	190.2%	278.7%	235.3%	167.9%		
Tax	80	73	146	221	407	479	823	1,094	1,801	1,778	2,020		
Profit to shareholders	364	682	878	1,419	1,583	2,412	3,137	3,665	5,735	7,917	8,587	173.7%	8.5%
% chg yoy	-46.7%	16.0%	251.2%	61.7%	335.1%	253.6%	257.4%	158.3%	262.3%	228.2%	173.7%		
EPS	0.45	0.85	1.09	1.27	1.43	2.17	2.82	3.30	5.16	7.12	0.00		
Ratio Analysis													
GPM	31.1%	33.5%	35.4%	35.1%	36.7%	41.5%	42.8%	44.5%	46.1%	46.4%	46.6%	3.8pp	0.2pp
OPEX	13.3%	9.7%	13.3%	12.0%	7.5%	6.4%	6.4%	7.6%	6.3%	4.6%	4.4%	-2.0pp	-0.2pp
OPM	17.8%	23.8%	22.1%	23.1%	29.2%	35.0%	36.4%	36.9%	39.8%	41.8%	42.3%	5.8pp	0.4pp
NPM	16.8%	22.5%	23.8%	21.7%	23.7%	29.7%	30.7%	27.7%	29.4%	35.5%	30.9%	0.2pp	-4.6pp

Source: Company data, Nomura research

Earnings forecast revisions

We raise FY26-28F revenue by 4-11% to reflect the robust demand for high-end transceiver products (e.g., 2.4T/3.2T transceivers), as well as business expansion into NPO/CPO. We lower FY26F-28F GPM by 0.6-0.9pp to reflect price hikes for upstream materials such as optical chips and DSP. As a result, our FY26-28F earnings increase by 0-8%.

Fig. 2: Innolight – earnings forecast revisions

(CNY mn)	2022	2023	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	A	A	A	A	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	Diff.	Diff.	Diff.
Revenue	9,642	10,718	23,862	38,240	133,245	276,779	429,817	124,240	266,386	388,945	7%	4%	11%
% chg yoy	25.3%	11.2%	122.6%	60.3%	248.4%	107.7%	55.3%	224.9%	114.4%	46.0%			
COGS	(6,816)	(7,182)	(15,796)	(22,166)	(71,613)	(145,184)	(220,947)	(65,594)	(138,085)	(197,207)	9%	5%	12%
Gross Profit	2,826	3,536	8,067	16,074	61,631	131,594	208,870	58,646	128,301	191,738	5%	3%	9%
OPEX	(1,428)	(1,348)	(2,170)	(2,170)	(15,555)	(35,079)	(56,624)	(13,261)	(33,762)	(51,240)	17%	4%	11%
Operating Income	1,399	2,188	5,897	13,905	46,076	96,515	152,246	45,385	94,539	140,498	2%	2%	8%
% chg yoy	55.6%	56.4%	169.5%	135.8%	231.4%	109.5%	57.7%	226.4%	108.3%	48.6%			
Finance Expense	22	84	144	(183)	(637)	(1,323)	(2,055)	(594)	(1,273)	(1,859)			
Other gains/expense	(69)	221	11	(122)	(426)	(885)	(1,374)	(397)	(852)	(1,243)			
Pretax income	1,352	2,492	6,052	13,600	45,013	94,308	148,817	44,394	92,415	137,396	1%	2%	8%
% chg yoy	40.8%	84.4%	142.8%	124.7%	231.0%	109.5%	57.8%	226.4%	108.2%	48.7%			
Tax	128	319	881	2,802	9,033	16,824	25,483	8,550	16,073	23,224			
Profit to shareholders	1,224	2,174	5,171	10,797	35,980	77,484	123,334	35,844	76,341	114,172	0%	1%	8%
% chg yoy	39.6%	77.6%	137.9%	108.8%	233.2%	115.4%	59.2%	232.0%	113.0%	49.6%			
EPS	1.53	2.71	4.61	9.72	30.85	66.45	105.76	30.74	65.47	97.91	0%	1%	8%
Ratio Analysis													
GPM	29.3%	33.0%	33.8%	42.0%	46.3%	47.5%	48.6%	47.2%	48.2%	49.3%	-0.9pp	-0.6pp	-0.7pp
OPEX	14.8%	12.6%	9.1%	5.7%	11.7%	12.7%	13.2%	10.7%	12.7%	13.2%	1.0pp	0.0pp	0.0pp
OPM	14.5%	20.4%	24.7%	36.4%	34.6%	34.9%	35.4%	36.5%	35.5%	36.1%	-1.9pp	-0.6pp	-0.7pp
NPM	12.7%	20.3%	21.7%	28.2%	27.0%	28.0%	28.7%	28.9%	28.7%	29.4%	-1.8pp	-0.7pp	-0.7pp

Source: Company data, Nomura estimates

Our FY26-28F revenues are 23-46% above WIND consensus estimates, while our FY26-28F earnings are 3-20% above, as we are more positive on shipment volumes, ASP growth in the 2.4T/3.2T product cycle, and NPO/CPO products in FY26-28F.

Fig. 3: Zhongji InnoLight – Nomura vs consensus

(CNY mn)	FY2025	FY2026F			FY2027F			FY2028F		
	Actual	(NOM)	(CON)	diff	(NOM)	(CON)	diff	(NOM)	(CON)	diff
Revenue	38,240	133,245	107,920	23%	276,779	208,161	33%	429,817	294,761	46%
Pretax Profit	13,600	45,013	43,415	4%	94,308	85,685	10%	148,817	122,398	22%
Net Profit	10,797	35,980	35,071	3%	77,484	71,596	8%	123,334	102,811	20%
EPS	9.72	30.85	29.77	4%	66.45	60.78	9%	105.76	87.28	21%

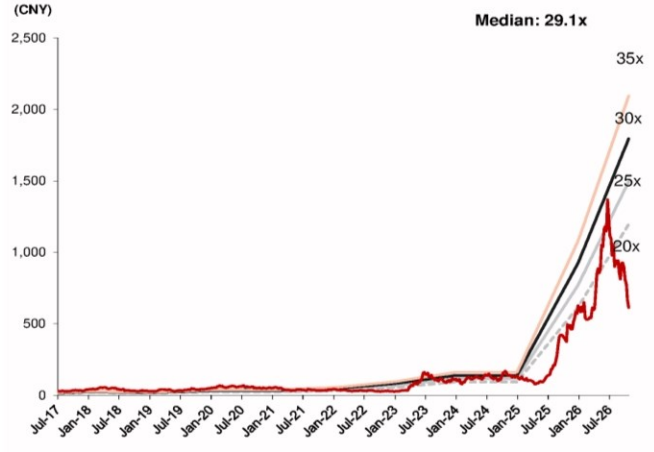
Source: Company data, WIND, Nomura estimates

Valuation and risks

Our new TP of CNY1,196 (vs CNY1,375 previously) is based on 18x (previously 21x) FY27F EPS of CNY66.45, in line with the consensus median P/E range of WIND's China Optical communication sector.

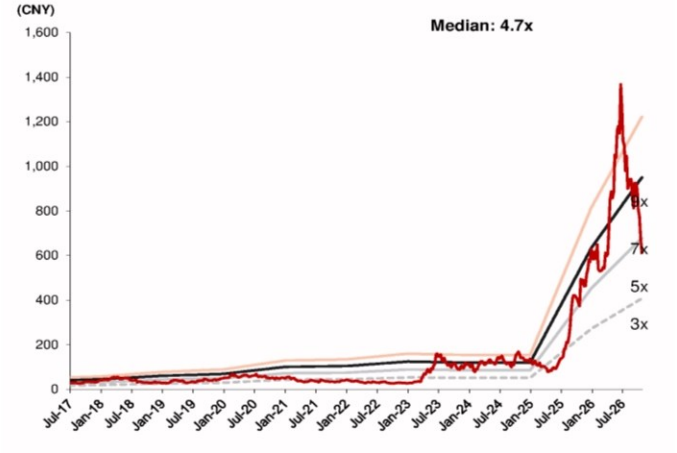
Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 800G/1.6T optical transceivers segments; 3) slower-than-expected product upgrades (i.e., 3.2T and silicon photonics products); and 4) an increase in price competition that might affect the company's exports to global customers.

Fig. 4: Zhongji InnoLight – 12-month-forward P/E bands



Source: Company data, Nomura estimates

Fig. 5: Zhongji InnoLight – 12-month-forward P/B bands



Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
See Disclaimers for Nomura Group entity details.

Analyst Certification

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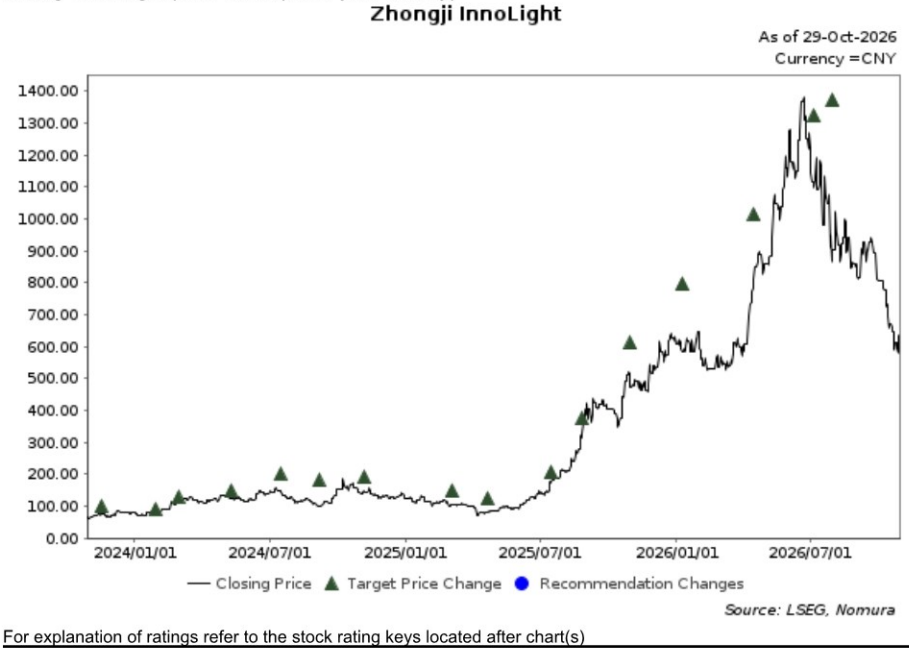
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhongji InnoLight	300308 CH	CNY 636.30	28-Oct-2026	Buy	N/A	

Zhongji InnoLight (300308 CH) **CNY 636.30 (28-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
31-Jul-26		1,375.00	902.01
06-Jul-26		1,325.00	1,098.92
16-Apr-26		1,015.00	809.61
09-Jan-26		799.00	583.20
31-Oct-25		612.00	473.01
27-Aug-25		375.00	325.10
16-Jul-25		208.50	170.76
21-Apr-25		125.00	81.19
04-Mar-25		150.00	102.46
06-Nov-24		190.00	142.90
06-Sep-24		180.00	99.42
16-Jul-24		200.00	148.12
10-May-24		149.29	122.29
29-Feb-24		128.57	110.83
29-Jan-24		91.43	74.16
17-Nov-23		100.00	75.42

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY1,196.00 is based on 18x 2027F EPS of CNY66.45, in line with China's optical communication sector median P/E. The benchmark index is CSI300 Index.
Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

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